

Investors Fear the Worst is Yet to Come

On March 23, 2020 the *Wall Street Journal* print edition featured the headline: “Investors Fear the Worst is Yet to Come.”⁹⁷ The online headline was even better: “The Worst of the Global Selloff Isn’t Here Yet, Banks and Investors Warn.” That was **chef’s kiss** within a day of the exact market bottom, and just as a 69% rally was about to begin.

A Very Contradictory Stock Market Rally

On April 21, 2020 the *New York Times* saw “A Very Contradictory Stock Market Rally” relative to the economy, which meant that lots of people were overlooking a giant opportunity.⁹⁸ Once again, the online headline was even more emotional: “Can Investors Trust the Stock Market Rally?”

Global fund managers warn bull run is doomed without coronavirus vaccine

Last, consider the *Financial Times* piece from May 20, 2020: “Global fund managers warn bull run is doomed without coronavirus vaccine.”⁹⁹ Perhaps the bull market was anticipating a vaccine? This is, as Crichton suggested, “wet streets causing rain.”

Note that *none of these stories were factually incorrect*; all of them accurately reported the news of the day. But that does not mean they are not contributing to the angst that so often leads people astray.

Solution: Whenever you read a scary headline, ask yourself these questions:

1. Is this resonating on an emotional or logical level?
2. How might this story look one month from now? A few years from now?
3. How much of this “News” is already reflected in stock prices?